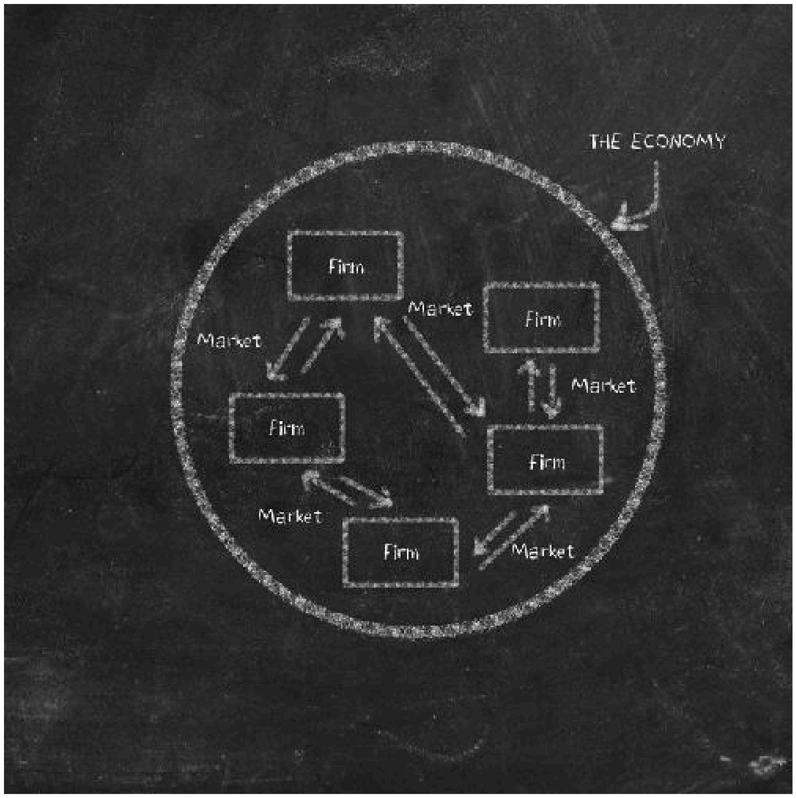
The existence of firms



In recent years there has been a trend for firms to contract out many of their functions. The testing of products might be contracted to an independent laboratory, where it used to be carried out within the firm. What if this continued until *all* functions were contracted out – why would the firm need to exist at all? Economists have tried to answer this question using the notion of ‘transaction costs’.

The purchase of an apple is simple: parties to the transaction don’t need to gather complex information or take account of many uncertainties, so transaction costs are low. But many other economic relationships continue over time, are far more complex and take place in environments of uncertainty – they may involve high transaction costs. Employees of firms carry out complex tasks that can change over time in unanticipated ways: it might be impossible to specify all of these explicitly in a contract to a third party, so it may be more efficient for certain parts of production to remain organized as firms.